POINT OF CHANGE / OPERATIONS

Sales Hit Its Target. The Work Got Worse.

Review what the company has to deliver after the number turns green.



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On the last Friday of the month, your sales team books three renovation jobs. The pipeline report turns green. At the Monday operations meeting, you learn that two buyers were promised the same installation week. One contract relies on a supplier quote that has expired. The revenue is on the board. The conditions that made the work profitable and deliverable are in someone else's inbox.

A sales target can create downstream work when it rewards an early event and leaves the cost or quality of the commitment out of view. Trace what changed near the target, check what customers were promised, and compare the sales number with what the company could actually deliver.

How can a sales metric lead people to make worse commitments?

A metric can change which actions people take and when they take them. Check what the business counts, what it rewards, and which decisions an employee can make without involving delivery. Look for a change in behavior around the reporting deadline or bonus threshold.

You open the Starbucks app because you have ten minutes before work. The app shows a wait you can't fit into the morning, so you leave the coffee in the cart. On its April 2024 earnings call, Starbucks reported that a mid-teens percentage of mobile orders went uncompleted that quarter despite strong mobile sales. Customers who left cited long waits and unavailable products. That's evidence that some demand went unserved. Finding out whether a target changed behavior calls for a different kind of evidence. Starbucks fiscal Q2 2024 earnings call

For an example where the incentive itself was documented, the SEC's 2020 Wells Fargo order found that sales goals and management pressure contributed to unauthorized and other improper account openings. Some of those accounts counted in the cross-sell measure until they were closed for lack of use. For a contractor examining its own target, the practical question is what earns credit and whether the company checks what the customer agreed to or what operations can deliver. SEC order on Wells Fargo, sections III.A and III.B

At a contractor, signing three jobs is a normal commercial accomplishment. If sales can promise start dates it has no way to confirm, the target may accelerate commitments that operations has to renegotiate. Check that mechanism. End-of-month clustering may also reflect real buyer deadlines. Ask whether the quality of the commitments changes, alongside the number signed.

How do you test whether the target is part of the problem?

Compare similar jobs signed near and away from the deadline. Read the original offer, the conditions known when it was accepted, and the first operational correction. Ask what sales could verify at the time and whether the incentives changed which checks it made.

What to compare	Why it changes the decision
Scope and margin at signing vs. after the first delivery review	Reveals whether favorable terms depend on assumptions the company has to revise.
Dates promised vs. capacity available when promised	Shows whether bookings contain commitments operations could reasonably keep.
Amendments, reschedules or exceptions by timing and job type	Helps distinguish deadline behavior from the usual complexity of the work.
Customer response after corrections	Shows the consequence of getting the commitment wrong.

A salesperson may have verified a date against the shared schedule and found it open. If another rep could promise the same slot simultaneously, address how capacity is reserved. If reps were explicitly told to book first and ask later, examine the target and management instruction. The symptoms look similar in the operations report.

What should the CEO change first?

Keep the sales activity visible and add a check on the commitment it creates. Decide which conditions must be verified before the business counts a job as ready to start or credits an outcome tied to delivery. Watch for new incentives to delay legitimate work or avoid complex customers.

Meadows identifies incentives, constraints and goals as different places to change a system. Apply that distinction to the contractor. The goal may still be profitable growth. The rule can require a verified delivery window before a date goes in the agreement. The review can show bookings and accepted jobs ready to release side by side. Donella Meadows, Leverage Points

Three questions for the next sales review.

- What does a green number let people assume about the work?
- What gets promised while the sales team is trying to reach it?
- What second result would show whether the company kept those promises?

At month-end, you still want to celebrate the three sales. Ask which dates the buyer can plan around and which margin the company can stand behind.

Frequently asked questions

Do you need a new KPI for every cost?

Choose a few measures tied to actual decisions. If scope corrections and schedule changes tell you where the signed work breaks, start there.

Should sales be responsible for delivery problems?

Hold sales responsible for commitments it controls and for involving the right people before making others. Trace the problem before assigning accountability.

What if the historical data is poor?

Start with a small set of signed proposals, delivery records and messages. Add missing fields where the evidence changes a decision, then compare a new set of jobs.

The contractor is illustrative. Starbucks reported its mobile-order figures. The Wells Fargo findings come from the SEC's order.